Operational holdings can become five times only by removing all restrictions and prohibitions on land leasing and removing restrictions and impractical provisions in the contract farming laws.

The core objective of the MSP system is to provide farmers a minimum return/income. PM-Kisan operates as an income transfer scheme for the farmer. The element of income in actual procurement undertaken by the government in a year, which should be in the range of about Rs 50,000–60,000 crore, can be added to the actual outgo of PM-Kisan (about Rs 54,000 crore). Taking it to an outlay of Rs 1 lakh crore, PM-Kisan can operate as a genuine income/profit transfer scheme; Rs 1 lakh crore transferred to about 10 crore farmers would imply a transfer of Rs 10,000 per farmer irrespective of crop or the area. A better variation would be to pay an amount per hectare rather than per farmer. As India cultivates about 14 crore hectares of land, an amount of Rs 7000–7500 per hectare would provide requisite support. This will give farmers a minimum assured income.

Fertilizer, electricity and interest subsidies cost the Centre and states more than Rs 2 lakh crore annually. These subsidies should also be replaced by a system of direct cash benefit transfer to farmers. In this system, farmers would get cash support that otherwise accrues to inefficient industries and electricity boards. The industry would become efficient and competitive and farmers would also get a real choice and flexibility in deciding which crops to grow, water and electricity use and how much loan to take.

The direct income support on account of cessation of input subsidies added to the direct income transfer on account of PM-Kisan and dismantling of the MSP system should be able to provide about Rs 5 lakh crore of direct income support for 140 million hectares of land, which is under the plough in the country. This should be able to provide Rs 35,000